# WARRANTY ATLAS · Arizona (AZ)

Law last amended: 2024 (eff. 2024-09-14) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-11-09

Cites: A.R.S. § 28-4451(C)-(F), (K); A.R.S. § 28-4451(G)-(I), (L) (audits, claims); A.R.S. §§ 28-4493, 28-4497 (license sanctions, injunction)

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Factory time (reasonable/adequate standard where stated) | § 28-4451(D) |
| **Mfr-backed service contract** | **Not addressed** | - | § 28-4451(C) |
| **CPO warranty** | **Not addressed** | - | § 28-4451(C) |
| **Independent service contract** | **Not addressed** | - | § 28-4451(C) |

Hourly rate: Must be 'fair and reasonable'. At the dealer's option, the dealer declares a retail labor rate from the lesser of 100 sequential nonwarranty customer-paid ROs or 90 consecutive days of customer-paid ROs for warranty-like repairs (≤180 days old): total labor sales ÷ labor hours. The rate is presumed fair and takes effect in 30 days unless rebutted vs similarly situated same line-make AZ dealers; dealer can protest to the director. ≤1 declaration per 12 months.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. Disapproval must be in writing or by electronic transmission. A properly submitted claim may not be denied solely for an incidental failure to meet a claim-processing requirement that does not question the claim's legitimacy. | § 28-4451(I); see (L) |
| **Payment** | 30 days after approval. Dealer filing deadline: Silent. If a claim is rejected for an incidental processing requirement, the dealer may correct or complete and resubmit it within 60 day… | |
| **Chargebacks** | 12 months; fraud: The 12-month limit does not apply if the manufacturer reasonably susp…. Audits must be 'reasonable and periodic'. A chargeback is allowed only after the dealer has had notice and a chance to use any available manufacturer mediation, and after all legal appeals are exhausted if mediation fails. | § 28-4451(G) |
| **Rate resubmission** | not more than once in any twelve-month period. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Engine / transmission assembly, Routine maintenance, Prep / reconditioning, Other (see text). | § 28-4451(E); see (F), (K) |
| **Mfr response** | 30 days; no response = approved: Yes. Challenge: Declared rates are presumed fair and reasonable. To rebut, the manufacturer must reasonably substantiate that the rate is inaccurate or unreasonable compared to other similarly situated same line-make new motor vehicle dealers in Arizona. Forum: Dealer protest to the ADOT director within 30 days after receiving th…. | § 28-4451(E); see (K), (O)-(T) |
| **Penalties** | Rate disputes go through the director's protest and ALJ process, with judicial review (§ 28-4451(E), (O)-(T)). No express private damages provision was found in §§ 28-4451 to 28-4464. The ADOT director may suspend or cancel the license of a licensee that 'has violated or is violating a law of this state' (§ 28-4493(A)(3)). Injunction a… | A.R.S. §§ 28-4451(O)-(T), 28-4493(A)(3), 28-4497 |
| **Audit procedures** | Audit climate score 34/100 (Elevated restrictiveness; chargeback limits 34/75 + process and oversight 0/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(§ 28-4451(I); see (L)): "Any claim not disapproved in writing or by means of electronic transmission within thirty days after receipt is deemed approved, and payment must be made within thirty days after approval."*

***Chargebacks*** *(§ 28-4451(G)): "Audits shall only be for the twelve month period immediately following the date of the payment. This limitation does not apply if the manufacturer, factory branch, distributor or distributor branch reasonably suspects fraud."*

***Rate*** *(§ 28-4451(E); see (F), (K)): "The new motor vehicle dealer's retail labor rate shall be determined by dividing the amount of the dealer's total labor sales contained in the submitted repair orders by the total number of labor hours that generated those sales."*

***Factory time*** *(§ 28-4451(D)): "Time allowances for the diagnosis and performance of warranty work and service shall be reasonable and adequate for the work or services to be performed."*

## Notes

(K) works in both directions: the manufacturer may lower the reimbursement rate going forward if the dealer's retail rate falls. Time allowances must be 'reasonable and adequate' ((D)). No-cost parts are paid at the retail parts rate ((J)). Stop-sale compensation is 1.5%/month and recall claims use the same 30/30 deemed-approval rule ((U)-(Y)). § 28-4464: the article does not apply to manufacturers that have never used franchised dealers. The 2024 HB 2410 amendments did not change the labor-rate text.

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